September 2012

WELLS FARGO ADVISORS

What's at stake for the economy and your wallet

The elections

As we approach decision day, here are some key election-year issues to follow as they relate to your personal finances.

Together we'll go far

The elections, and uncertainty, are coming

Perhaps even more than bad news, uncertainty confounds the markets. Although bad news is, well, bad, it's a known quantity, so the markets have a good idea of what they're dealing with. With uncertainty, the outcome could be good news, bad news or no news. The markets find that unsettling.

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As we get closer to the November elections, it is important to put them in perspective and remember what really should drive your investment decisions.

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The elections will help decide the direction of government policy toward borrowing and spending and potentially impact every American's pocketbook.

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A number of tax provisions are set to expire at year-end and, if not addressed, could result in significant tax increases.

Like it or not, the markets are going to have to deal with uncertainty between now and Election Day. History suggests that the simple fact that this is an election year, with the usual concerns about who will control Congress and the presidency, could affect whether stocks end the year up or down. In addition, this year there's the prospect of the country heading off what many are calling a "fiscal cliff" early in 2013.

Although it's impossible to know what's going to happen on November 6, it's important for investors to understand all the issues at stake. In this report, we look at the major concerns and offer perspectives from Wells Fargo Advisors' economic and market experts. Armed with this information, you can work with a Financial Advisor from Wells Fargo Advisors to help determine what, if any, adjustments you need to make to your portfolio to prepare for the uncertainty that lies ahead.

Looking back

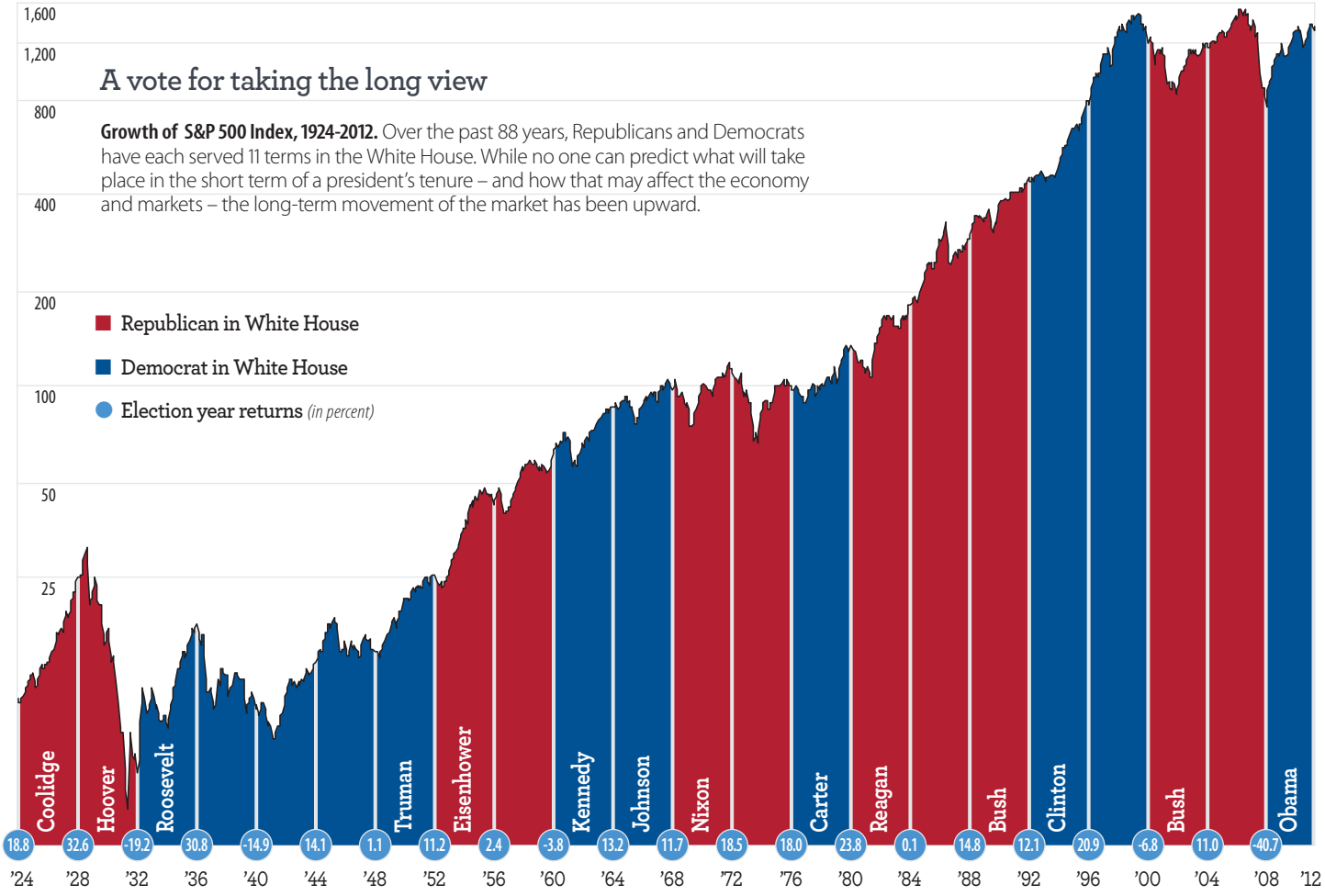
History can be an excellent teacher, but it's not 100% reliable. That being said, we can look back at the market's past performance for clues to what this election year may hold.

What to look for in the markets

Many investors are interested to know what impact the presidential election could have on the markets.

With so many decisions to be made regarding government policy toward taxes, spending and services, gauging the potential effects of the election on the markets is an exercise in predicting the unpredictable. Although every election year is different, one thing to consider is how the stock market has performed historically around presidential elections.

Since 1924, the market has had positive returns in 17 of the previous 22 election years. Although this year has provided above-average returns so far, a look back suggests that the market usually offers below-average returns in election years. While this can provide some context to market trends, a more useful approach is to tune out the election noise – and any short-term market gyrations – and stay focused on your long-term investment strategy.



A vote for taking the long view

Growth of S&P 500 Index, 1924-2012. Over the past 88 years, Republicans and Democrats have each served 11 terms in the White House. While no one can predict what will take place in the short term of a president's tenure – and how that may affect the economy and markets – the long-term movement of the market has been upward.

As of August 15, 2012

Source: Haver/Wells Fargo Advisors

Past performance is not an indication of future results. An index is not managed and is unavailable for direct investment; does not include taxes or reinvestment of dividends.
The S&P 500 index is a composite of the largest 500 publicly traded companies in the United States.

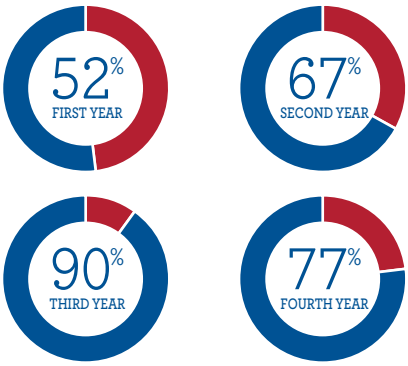
Markets often perform better in the last two years of a president's term

As shown in the charts below, historically the third year of a president's term, measured by the performance of the S&P 500, has been the strongest for stocks and has most often provided positive returns. The first two years of a president's term show lower growth and have a higher percentage of negative returns. A possible explanation is that incumbents look to generate favorable economic growth during the last two years of their term, just before new elections.

S&P 500 Index, 1924-2012 *(as of August 15, 2012)*

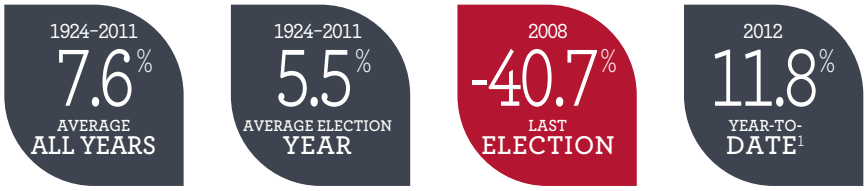
Average return by president's year in office

Percentage of years with positive market return by president's year in office



Election year returns

Since 1924, the stock market's annual return in election years has underperformed its average for all years. In 2008, the S&P 500 experienced a significant decline. However, so far this year, the return is above the historical average for all years.



Source: Haver/Wells Fargo Advisors

[1]As of August 15, 2012.

What could it mean for you?

- Historical data show that an election year does not have a significant impact on the stock market.
- Looking at presidential election cycles, the market is more likely to have a positive return in the last two years of a president's term compared to the first two years.
- Trying to predict how the market will respond to election outcomes is difficult and possibly counterproductive. Maintaining an appropriate mix of investments tailored to your financial goals is a better long-term strategy.

Q&A with

Stuart T. Freeman, CFA®, Chief Equity Strategist for Wells Fargo Advisors

Outlook positive despite uncertainties

What drives the market more these days, political events or economic fundamentals?

Overall, investors should concentrate on long-term fundamentals and valuations as opposed to near-term events or uncertainties.

In the short term, a litany of concerns – the European recession, slowing growth in China, slow growth in the United States, international and U.S. debt levels, consumer debt levels, the fiscal cliff, the continuation of the Bush tax cuts, worries with respect to geopolitical problems in the Middle East, and the uncertainty and noise surrounding the 2012 elections – have kept consumer and investor angst at high levels.

As a result, we are likely to experience more volatility as the markets move through these uncertainties. However, as some of these uncertainties become part of the past, investor sentiment is likely to lift modestly.

What impact will the upcoming elections have on the stock market and does this affect your long-term outlook?

While the upcoming elections are likely to result in volatility for the next few months, they do not change our expectation that stocks should show better return potential than fixed-income vehicles over time.

How has the market reacted to the economic uncertainty we have seen here and overseas?

The equity markets have continued to be volatile in this midcycle period during which growth has slowed. It is not unusual to experience flat equity market performance after the first run-up following a recession.

The S&P 500 is at a similar place today as it was in April 2011. However, we believe that early signs of bottoming in Europe and signs of a moderation in the slowdown in China are likely to have favorable impact upon investor sentiment and the valuation of the S&P 500 over the next year.

What do you expect from the markets for the remainder of the year?

Our year-end target range for the S&P 500 Index is 1,400-1,450. Should new Fed and European Union quantitative easing programs materialize, we believe the S&P 500 could move toward the top of the range prior to year-end. However, the third quarter of the calendar year tends to be the weakest performing quarter for equities in the post-World War II period. Thus, an expectation on the part of investors for additional monetary stimulus is currently offsetting a slow economy and some negative seasonal tendency for the equity markets.

Should additional easing not materialize, the markets could revert to a lower level over the next couple of months, before moving toward our year-end target range.

Where do you see the best opportunities in this market?

We believe that the best opportunities in a second up-leg for the market lie in the more cyclically-sensitive issues that have underperformed during the course of the last year. We currently recommend an overweight allocation in the Technology, Consumer Discretionary, Materials and Telecom Services sectors of the market.

Facing debt

What was once a non-event, raising the debt-ceiling limit has become a hot issue. With the approaching need to increase it again, investors need to watch the debate closely.

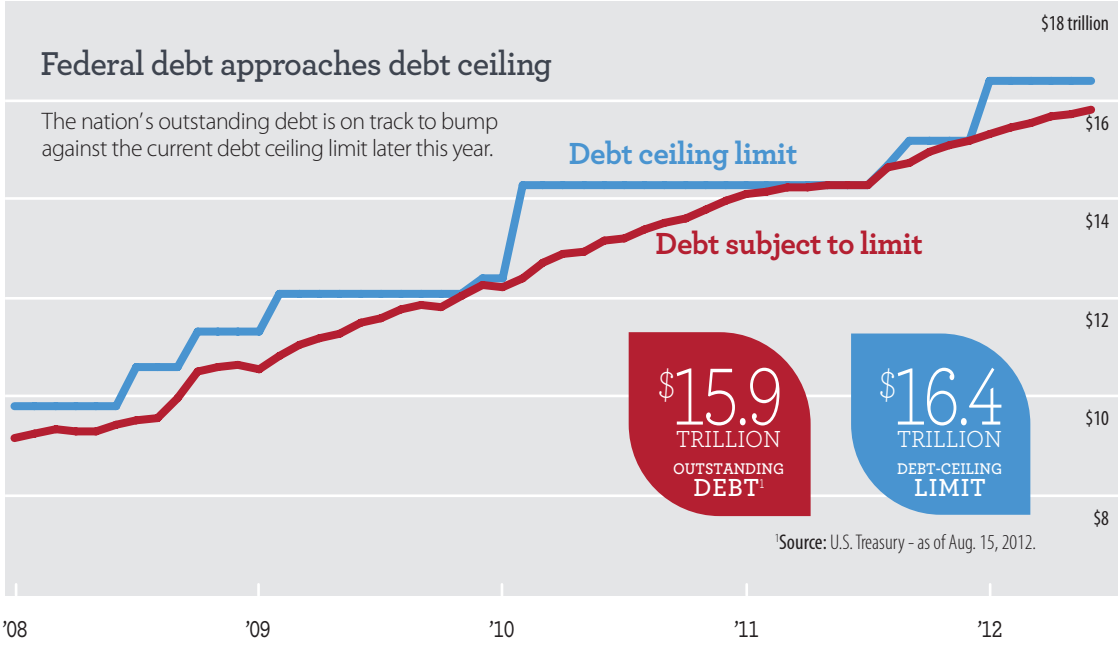
Dealing with the nation's debt

Congress will debate whether to increase the amount of debt the country can accumulate.

Many analysts agree that the United States is once again on the verge of bumping into its debt ceiling limit. The last time this happened back in the summer of 2011, the ensuing debate in Congress over raising the limit was so bitter that S&P responded by downgrading the U.S. debt for the first time in history. In the end, the ceiling was raised, but the impact of the legislation that allowed it to happen is yet to be fully realized.

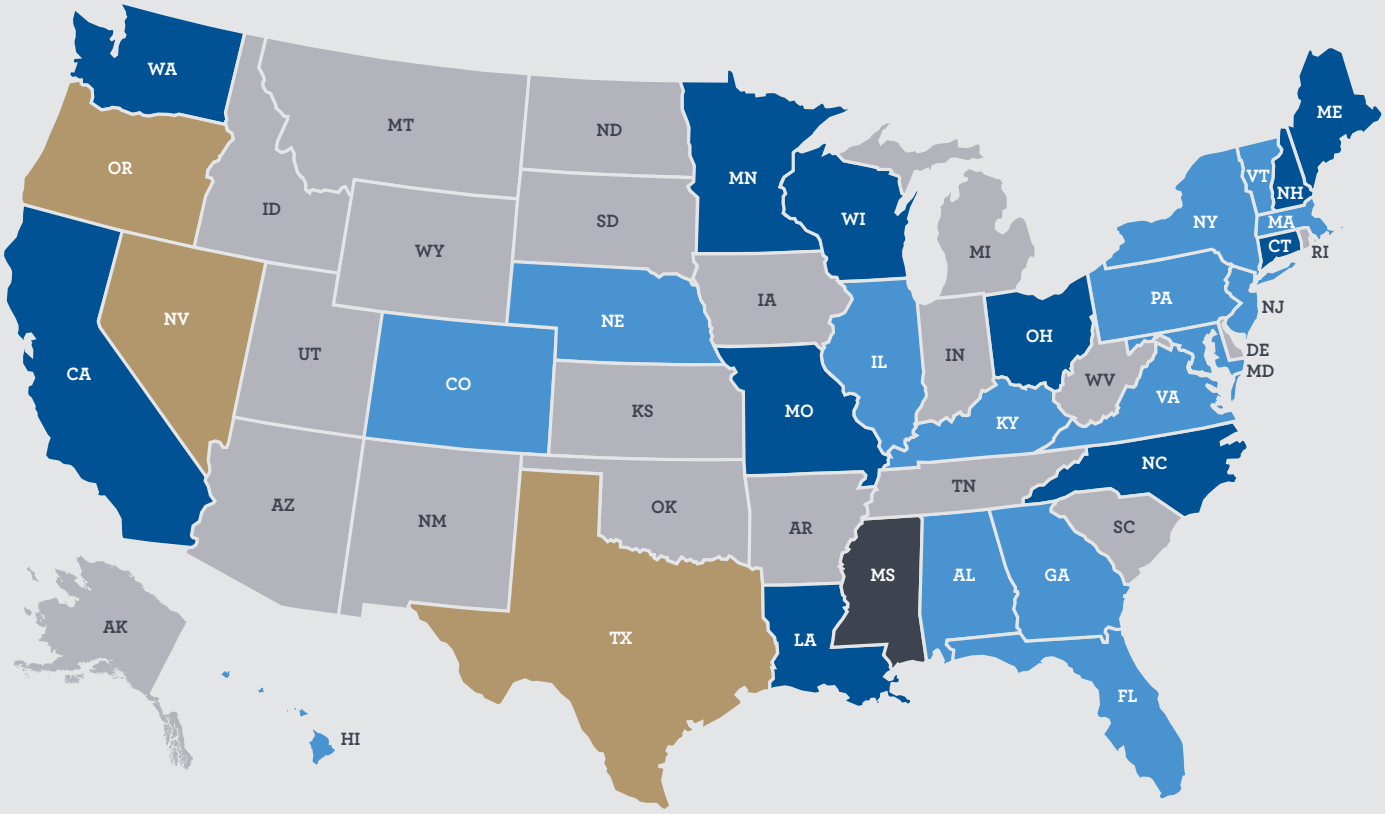
It's easier to understand what the debt ceiling limit is than to grasp what could happen if Congress fails to increase it when necessary. The ceiling is just what the name suggests – a cap on how much outstanding debt the country is allowed to take on. If the ceiling is hit, the government will be unable to borrow any more to pay its bills.

Since the government has always been able to borrow the additional funds it needs, no one knows for sure what will happen if that ability is taken away. It could mean that parts of the government will be shut down. There's the possibility that the Treasury could fail to make interest payments or repay principal on maturing debt. Even a partial default could put the nation's status as a perceived "risk-free" investment further in jeopardy. If investors perceive U.S. debt as being more risky, the Treasury's cost of borrowing may increase, which could further fuel the nation's escalating deficit problems.



Washington is only part of the story

While the federal government's fiscal challenges get a lot of attention, less discussed are the individual states' financial woes. However, as a lingering result of the last recession, more than half the states face projected shortfalls for 2013 – some more so than others, as shown in the map below. To get their houses in order, these states are likely to increase taxes, cut spending or both, which could negatively impact employment and the overall economy. As a result, what happens closer to home in the nation's state capitals, along with what goes on in Washington, could help determine the economic recovery's future.



Some states are in better shape than others

Projected fiscal year 2013 shortfalls

Greater than 20% of budget		Between 10% and 20% of budget		Between 0% and 10% of budget	
Nevada	36.2%	New Hampshire	19.9%	Nebraska	9.8%
Oregon	24.3%	Washington	19.6%	Hawaii	8.6%
Texas	24.2%	California	16.2%	Maryland	7.0%
		Connecticut	16.0%	Illinois	5.5%
		Maine	15.4%	Florida	4.1%
		Louisiana	14.3%	Alabama	4.0%
		North Carolina	11.5%	Kentucky	3.9%
		Minnesota	11.2%	Vermont	3.9%
		Ohio	10.3%	Massachusetts	3.8%
		Wisconsin	10.8%	New York	3.4%
		Missouri	10.0%	Colorado	2.0%
				Pennsylvania	2.0%
				Georgia	1.6%
				New Jersey	1.6%
				Virginia	0.8%

States not projecting a shortfall.

***Mississippi** is facing a shortfall, but its magnitude has not been reported.*

Data: Center on Budget and Policy Priorities

Spending cuts are looming

There are indications that the upcoming debate over raising the debt ceiling limit will be as divisive as the last one, and no one knows what the outcome will be. Complicating matters are the dramatic spending cuts, scheduled to begin in January. These cuts, which neither side appears to like, were baked into the compromise that allowed the debt ceiling limit to be raised in 2011. If the Super Committee would have arrived at another solution that the majority could have agreed upon, the cuts would have been avoided. However, the Super Committee failed, and Congress now has to figure out what to do about the impending cuts.

Mandatory spending cuts *(in billions)*

Mandatory cuts to the federal budget are set to take place from 2013 to 2021 if Congress does not act.

Data: Congressional Budget Office

Medicare tax changes are in the offing

By recently upholding the constitutionality of the 2010 Patient Protection and Affordable Care Act, the Supreme Court certainly didn't end the debate over the future of health care in the United States. However, it may have helped clear the way for two new Medicare taxes on higher-income individuals that are scheduled to become effective in 2013 as part of the act. Calculating the additional amount a taxpayer may owe will be complex because multiple calculations may be required.

For more information, ask a Financial Advisor for a copy of our report, "New Medicare Taxes on the Horizon."

0.9% Tax increase on earned income (including net self-employment income) above $200,000 (individual filers) or $250,000 (married/joint filers)

3.8% Tax imposed on net investment income if modified adjusted gross income (MAGI) exceeds those same thresholds[1]

[1] *MAGI is adjusted gross income shown on page 1 of IRS Form 1040 plus any foreign income or foreign housing costs that were excluded from income.*

What could it mean for you?

- Failure to increase the debt ceiling limit could lead to the United States' first default.
- Because U.S. Treasuries are a perceived safe-haven investment, a default, although unlikely, could dramatically impact world financial markets.
- Talk with your Financial Advisor about what adjustments you may want to make to help protect your investments.

Q&A with

Brian Rehling, CFA®, Chief Fixed Income Strategist for Wells Fargo Advisors

Let the debt ceiling battle begin ... again

How do you think Congress will address the debt ceiling debate as it approaches again?

The debt ceiling limit debate will unfold after the November elections. Should a single party control both houses of Congress and the presidency, the debate will likely be handled without the threat of a government shutdown and default. A split in power will be more problematic. The markets normally do not respond well to uncertainty, and should this debate once again go down to the wire, investor concern will likely increase. While the debate is important and adds uncertainty to the picture, the ultimate solution is what matters the most to the markets.

Under all scenarios, *we believe the likelihood of an actual default is extremely low.* We do not see either party being willing to jeopardize the United States' reputation by failing to pay interest or repay principal on maturing debt.

How does the United States' debt level affect the bond market?

The supply of Treasury debt has exploded in recent years. Normally, a significant increase in supply of any product would cause a decrease in prices. However, the opposite has occurred, as bond prices have increased significantly, pushing down interest rates, during this period. This suggests that demand for Treasury securities has increased at an even greater rate than supply. The increase has come from the Fed buying Treasury securities, the European Central Bank's discount loan program, strong retail fund flows into fixed income products and institutional investors looking to Treasuries as a perceived safe haven during uncertain times. Given the significant U.S. budget deficit, we do not expect supply to decrease in the future, but the factors driving demand are likely to diminish, driving interest rates higher over time.

Could another credit ratings downgrade happen, and what would that mean?

Any agreement to increase the debt ceiling would again cause the rating agencies to evaluate the government's credit rating, and depending on the policy outcome, could lead to further downgrades. If lawmakers are unable to agree upon a medium- or long-term plan that begins to make progress on both fiscal policies and deficit reduction, we could see negative ratings actions by sometime next year or early in 2014. At this point, with no reserve currency alternative, we expect that even in the event of further downgrades, investors would continue to purchase Treasuries as a perceived safe-haven asset.

What's your outlook for interest rates?

U.S. Treasury securities continue to see strong demand from global investors looking to reduce risk. It does not appear that we will have a quick resolution to the European debt concerns. Given our expectations that perceived safe-haven buying will continue to keep rates depressed, our 10-year Treasury yield target for year-end is 2.00% while our 30-year yield target is 3.00%.

With interest rates near historic low levels and inflation likely to increase in coming years as the global economy strengthens, we believe that interest rates will trend higher over time. While we do not expect a rapid rise in rates over the next 12 months, investors purchasing longer-dated bonds face an investment horizon in which we will likely face a period of significantly higher yields, which would negatively impact bond prices. It is important that investors not become complacent; much like equity prices, interest rates do not move in a straight line, and surprises can occur.

Addressing taxes

You might expect that Congress would need to vote to raise taxes. Not this year. Taxes are scheduled to increase after December 31, 2012, and it's up to Congress to decide whether to stop it.

Decision time regarding taxes

The scheduled expiration of the "Bush-era tax cuts" is making taxes a big election-year issue.

The expiration of the "Bush-era tax cuts" – a variety of reforms, many dating back to 2001 – that's scheduled to occur at the end of the year is making taxes a big election-year issue in 2012. Unless Congress acts, the expiration will result in tax increases after December 31 in a variety of areas, including income, capital gains and dividend taxes, that may affect most taxpayers.

There's talk in Washington about extending some, or all, of the cuts, but no one knows where that will lead. However we do know what changes will occur if Congress fails to act.

Planning for what could happen

Due to the magnitude of the changes scheduled to occur at year-end, it's more important than ever to work closely with your tax advisor and Financial Advisor early this fall to plan your tax strategy.

Certain taxpayers will particularly want to consider acting before year-end. That includes investors who:

- **Hold a large position in a single stock that's appreciated in value.** If you're thinking about selling and diversifying to help manage your risk, 2012 may be the time to do it if you believe capital gains tax rates may go up next year.
- **Have company-granted stock options or company-stock benefits.** You may benefit from exercising and/or selling before the potential income tax increase.
- **Want to take advantage of the $5,120,000 lifetime gift-tax exemption.** If you want to make gifts to family members during your lifetime, talk with your attorney about the pros and cons of doing it while the exemption is at its historic high.

Income taxes

Barring further Congressional action, income tax rates will increase after December 31 to what they were prior to 2001. The 10% bracket will disappear, and the rates for the remaining brackets will increase. The potential expiration of the Bush-era tax cuts has far-ranging tax-planning implications.

For more information ask a Financial Advisor for a copy of our report, "Focusing on Upcoming Tax Changes."

2012	2013 If Congress does not act
TAX RATE	TAX RATE
10%	n/a
15%	15%
25%	28%
28%	31%
33%	36%
35%	39.6%

Other scheduled changes

	2012	2013 If Congress does not act
Long-term capital gains taxes	TAX RATE 0% 10%–15% tax brackets 15% 25%–35% tax brackets	TAX RATE 10% 15% tax bracket 20% 28%–39.6% tax brackets
Qualified dividend taxes	TAX RATES 0% & 15%	TAX RATES 15%–39.6%
Child tax credit	PER CHILD $1,000	PER CHILD $500
Estate taxes	EXEMPTION $5.12 million TAX RATE 35%	EXEMPTION $1 million TAX RATES 41%–55%
Payroll taxes	SALARY $25,000 $50,000 $100,000 $110,100+	ADDITIONAL TAX $500 $1,000 $2,000 $2,202

Long-term capital gains taxes

Taxpayers in the two lowest ordinary income tax brackets have enjoyed a 0% capital gains rate in recent years. Under current law, taxpayers in the 15% ordinary income tax bracket in 2013 (there will be no 10% bracket) will face a 10% long-term capital gains rate in 2013. Those in the higher brackets would see their rate increase from 15% to 20%.[1]

Qualified dividend taxes

In 2012, qualified dividends (in general, those paid by a U.S. corporation or an international corporation that trades on a U.S. stock exchange) are taxed at today's more attractive long-term capital gains tax rates. Those dividends would be taxed at higher ordinary income tax rates in 2013 if the tax cuts expire.[1]

Child tax credit

Currently, parents of a qualifying child under the age of 17 receive a credit of up to $1,000 on their tax return. Credits reduce a filer's income tax bill dollar for dollar. For example, in 2012 a $3,000 tax bill would be cut to $2,000 for a family with one child claiming the child tax credit. The credit is scheduled to decrease to $500 per child in 2013.

Estate taxes

For the 2012 tax year, $5,120,000 can be excluded from a taxable estate; assets above that amount are taxed at 35%. The exemption is scheduled to be decreased to only $1 million, potentially exposing more estates to the tax, and the top rate will be 55%.

Payroll taxes

Although not a Bush-era tax cut, the payroll tax cut – worth 2% of the first $110,100 of a worker's wages – that started in 2011 is also scheduled to expire December 31. A person making $50,000 has enjoyed roughly $83 extra a month, while someone making $110,100 has been taking home an extra $183.50 a month.

[1] *Effective rates could be higher for taxpayers subject to the additional Medicare taxes described on page 10.*

What could it mean for you?

- Unless Congress acts, a number of temporary tax provisions will expire at the end of 2012 resulting in higher tax bills for most Americans.
- As part of the ongoing debate over the country's budget and deficit, Congress may consider extending certain provisions either by the end of the year or retroactively in 2013 — or not at all.
- Talk with your Financial Advisor and tax advisor to stay up-to-date with any progress on these issues and whether they may prompt any changes in your investment strategy.

Q&A with

Gary Thayer, Chief Macro Strategist for Wells Fargo Advisors

How Washington might affect the markets

Between now and year-end, do you think that Congress will do anything regarding the expiration of the Bush-era tax cuts?

We do expect to see something before the end of the year but probably nothing concrete before the election. Both parties have signaled a willingness to delay the expiration.

The Republicans would like to extend the tax cuts for all taxpayers as part of a broader tax reform initiative. The Democrats want to extend the tax cuts for most taxpayers but not for all, particularly high-income taxpayers.

As we get into the final weeks of the campaign, fiscal policy and the tax cuts will be an important issue as both parties try to attract voters. Therefore, we do not expect any further action before the election. Instead, both parties are likely to wait to see who comes out ahead after the vote.

After both parties see what they have gained and lost during the election, we are likely to see more substantive measures to address the fiscal cliff, which comprises the tax cut's scheduled expiration and the significant spending reductions slated for January. However, the final measures to address the expiring tax cuts may not be enacted until after the new Congress is in session in January.

If the tax cuts expire and scheduled spending cuts kick in, what effect would that have on the U.S. economy?

If Congress does nothing and all the scheduled tax increases and spending cuts take place, the U.S. economy is likely to suffer a severe slowdown and could go back into recession. That is why we expect that Congress will eventually move to avoid going over that fiscal cliff either by delaying or diluting the scheduled tax increase and spending cuts.

A recent Blue Chip survey of economists showed that the majority of forecasters believe that some portion of the fiscal cliff tax increases and spending cuts will still take place next year, dampening economic growth. But there will be a good deal of uncertainty about the full potential impact until the outcome of the election is certain.

If Congress puts off difficult tax and spending decisions, how will it affect the economy and markets?

Congress has a small window to postpone the fiscal cliff until the newly elected leaders can address these issues. However, elected officials cannot just extend things indefinitely. Congress will need to show a timeline for seriously addressing the nation's fiscal problems.

If it looks like politicians are dodging difficult decisions, credit rating agencies could downgrade the U.S. debt rating, and that could create another serious shock to investor confidence and potentially the economy. Congress can temporarily delay the fiscal cliff, but it cannot ignore the fiscal issues for too long. Of course, the economic and market impact of delaying the fiscal cliff decisions will depend on the state of the U.S. and global economy early next year.

If the global economy is starting to benefit from this year's monetary easing, then the U.S. economy may not be severely damaged by modest tax increases or spending cuts. However, if the global economy is still weakening early next year when the fiscal cliff problems arrive, then the markets will probably be more volatile.

Stay tuned

Our analysts and strategists will be following all the latest developments regarding the elections, the U.S. and global economy, the markets, and political news overseas. There are a number of ways to access our advice and commentary to keep informed about how events may affect you financially.

Talk to your Financial Advisor

He or she can provide research from Wells Fargo Advisors as well as outside research resources. You can also review your current investment strategy and goals and be prepared to act if anything should change.

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Find additional videos, analysis and more

Be sure to visit our website for the latest commentary and more details on the tax issues that are at stake during this election year. There you'll find a video that highlights the key points around income and investment taxes, estate taxes and other tax items that could have an impact on your personal finances. You'll also find additional reports to help you stay fully informed.

Go to wellsfargoadvisors.com/taxes

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